ORGANISATIONAL Behavior 1

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Why learning OB ?

- This course exposes students towards the significant behavioral aspects of individuals working in organizations.
- It will create self-awareness and help understand the impact of attitude, personality, emotions and perception on behavior and performance of individuals at work place.
- The innovative pedagogy applied throughout the course module is aimed at making students appreciate and apply the knowledge from scientific theories of personality, motivation, job attitudes, diversity etc.,

Course Objectives

- To acquaint the participants with the personality dimensions that influence the work life .
- To develop understanding about the perceptual errors therein for better managerial judgement
- To develop an understanding of the complexities involved in motivation at workplace
- To develop interpersonal competencies, teamwork skills and leadership

- AI can lead organizations
- AI can replace human beings
- Organizational decisions are always rational
- HRM is a myth
- Innovations are technology driven
- Technology is the key to success

What is an Organisation?



- Purposefully created
- Consists of two or more people
- Working on a relatively continuous basis
- To achieve basic goals.



Organization

A consciously coordinated social unit, composed of two or more people, that functions on a relatively continuous basis to achieve a common goal or set of goals.

What Managers Do??

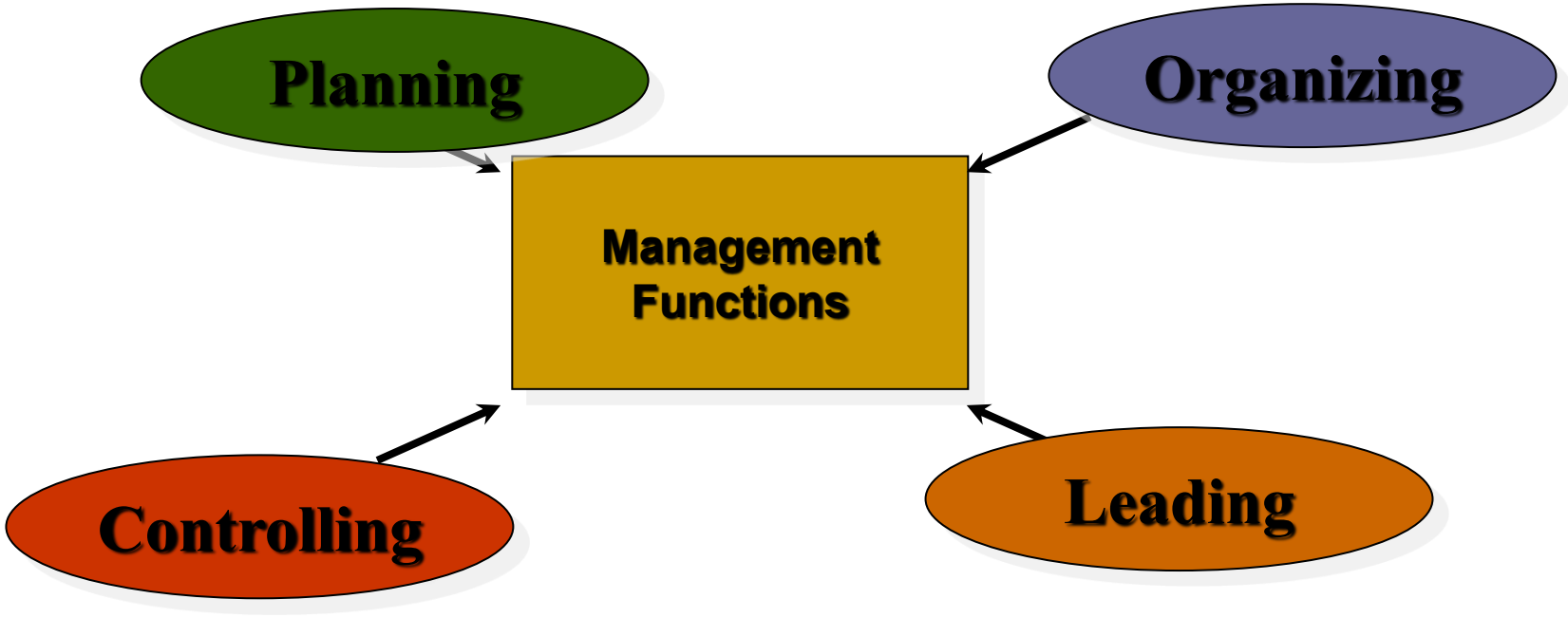
Managers (or *administrators*)

Individuals who achieve goals through other people.

Managerial Activities

- **Make decisions**
- **Allocate resources**
- **Direct activities of others to attain goals**

Management Functions



Management Functions (cont'd)

Planning

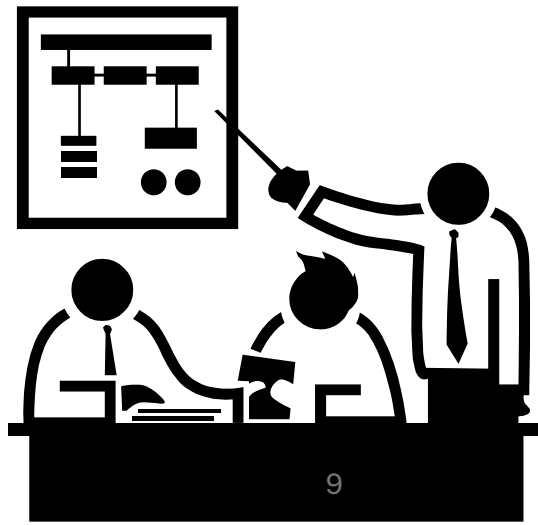
A process that includes defining goals, establishing strategy, and developing plans to coordinate activities.



Management Functions (cont'd)

Organizing

Determining what tasks are to be done, who is to do them, how the tasks are to be grouped, who reports to whom, and where decisions are to be made.



Management Functions (cont'd)

Leading

A function that includes motivating employees, directing others, selecting the most effective communication channels, and resolving conflicts.



Management Functions (cont'd)

Controlling

Monitoring activities to ensure they are being accomplished as planned and correcting any significant deviations.

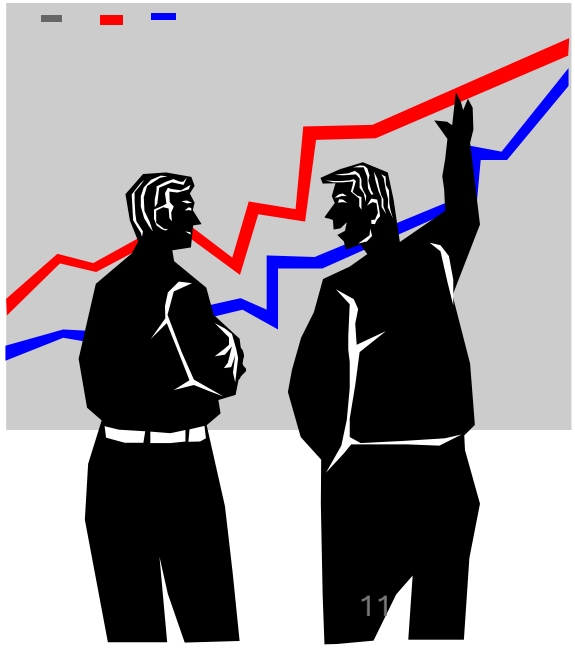


EXHIBIT 1.5

Henry Mintzberg's Managerial Roles

Category	Role	Organizational Function	Example Activities
Informational	Monitor	Responsible for information relevant to understanding the organization's internal and external environment	Handle correspondence and information such as industry, societal, and economic news and competitive information
	Disseminator	Responsible for the synthesis, integration, and forwarding of information to other members of the organization	Forward informational e-mails; share information in meetings, conference calls, webcasts, etc.
	Spokesperson	Transmit information to outsiders about organizational policy, plans, outcomes, etc.	Attend management meetings; maintain networks between the organization and stakeholders
Interpersonal	Figurehead	Symbolic leadership duties involving social and legal matters	Attend ceremonies; greet visitors; organize and attend events with clients, customers, bankers, etc.
	Leader	Motivate, inspire, and guide employees' actions; provide opportunities for training; support appropriate staffing	Build trusting relationships with employees; build effective teams; manage conflict
	Liaison	Build and maintain relationships between the organization and outside entities	Work on external boards; create and maintain social networks (real and virtual) with key stakeholders
Decisional	Entrepreneur	Scan the organizational environment for opportunities; foster creativity and innovation	Participate in strategy and review meetings for new projects or continuous improvement
	Disturbance handler	Manage organizational problems and crises	Participate in strategy and review meetings that involve problems and crises; get involved directly with key issues and people
	Resource allocator	Take responsibility for allocation of all types of organizational resources	Create work schedules; make authorization requests; participate in budgeting activities
	Negotiator	Represent the organization during any significant negotiations	Negotiate with vendors and clients; settle disputes about resource allocation

Effective Versus Successful Managerial Activities

1. **Traditional management**
   - **Decision making, planning, and controlling**
2. **Communication**
   - **Exchanging routine information and processing paperwork**
3. **Human resource management**
   - **Motivating, disciplining, managing conflict, staffing, and training**
4. **Networking**
   - **Socializing, politicking, and interacting with others**

Management Skills

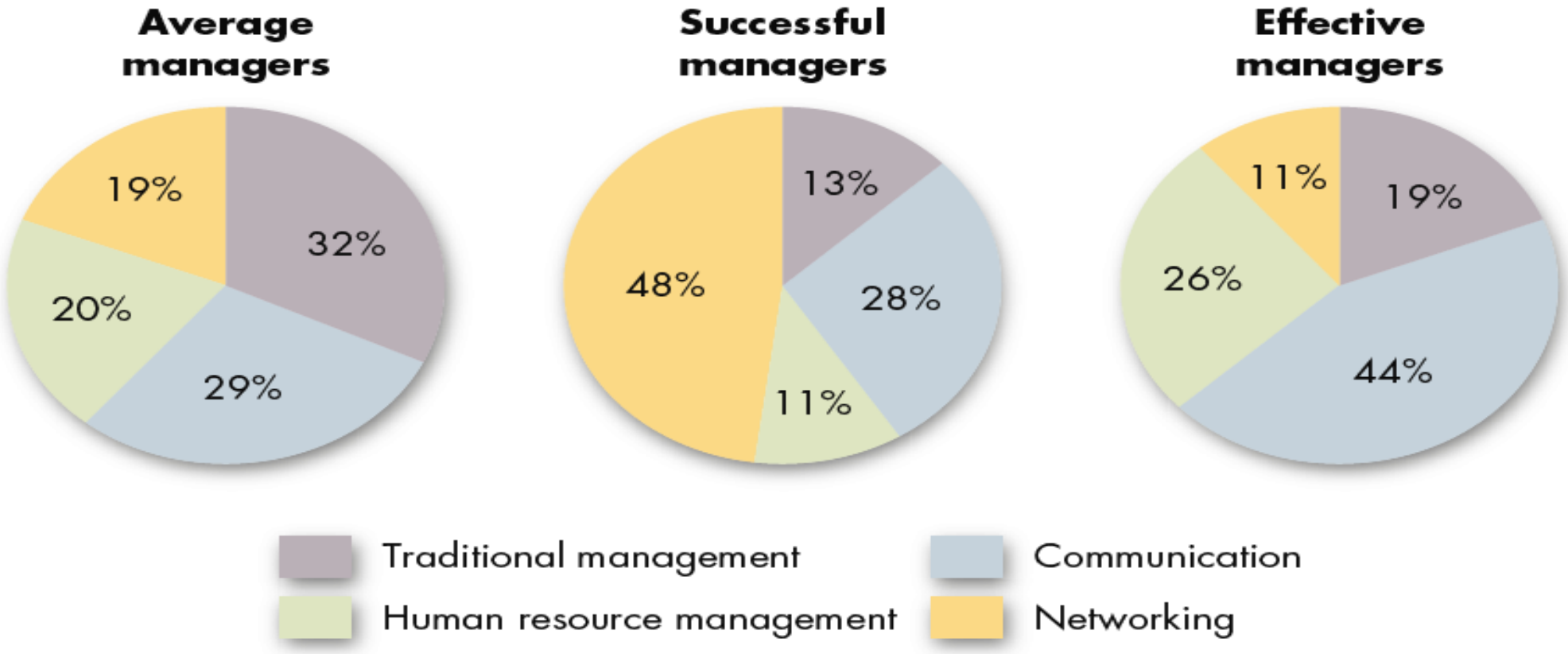
Technical skills
The ability to apply specialized knowledge or expertise.

Human skills
The ability to work with, understand, and motivate other people, both individually and in groups.



Conceptual Skills
The mental ability to analyze and diagnose complex situations.

Allocation of Activities by Time



A Review of The Manager's Job

- One common thread runs through the functions, roles, skills and activities approaches to management: Each recognises importance of managing people, whether it is called " *the leading function", "interpersonal roles", "human skills", or "human resource management".*

- It is clear that managers must develop their people skills, to be effective and successful.

Organization Behavior

- Definition
- Features
- Significance
- Various Disciplines.
- Challenges & opportunities

Organization Behavior

systematic study of the actions and attitudes that people exhibit within organizations



Organization Behavior

- "**Organizational behavior** is directly concerned with the understanding, prediction, and control of human behavior in organizations." — **Fred Luthans**.

- It is the systematic study and application of knowledge about how individuals and groups act within the organizations where they work.

- " . . . a field of study that investigates the impact that individuals, groups and structure have on behavior within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness"**- Stephen Robbins**

So let's break it down

- a field of study-it is a distinct area of expertise
- What does it study --- three determinants of behavior in organizations- individuals, groups and structure.
- Why does it study- to apply the knowledge gained about individuals, groups and the effect of structure on behavior in order to make organizations work more effectively.
- To sum up, OB is concerned with the study of what people do in an organization and how that behavior affects the performance of the organization.
- OB includes the core topics of motivation, leader behavior and power, interpersonal communication, group structure and processes, conflicts, work design and work stress.

Why Do We Study OB?

- To learn about yourself and how to deal with others.
- You are part of an organization now, and will continue to be a part of various organizations.
- Organizations are increasingly expecting individuals to be able to work in teams.
- Some of you may want to be managers or entrepreneurs. To help you think about the people issues faced by managers and entrepreneurs
- To improve the organizational effectiveness.

•Research shows that 60-80% of all difficulties in organizations stem from strained relationships between employees, not from deficits in individual employee's skill or motivation (Dana , 2005).

Features of Organization Behavior

- Behavioral approach to management
- Body of theory, research & application
- Human tool for human benefit
- Influenced by other disciplines
- 3 levels of analysis
- Is action oriented & goal directed
- Science & art
- Fulfils org. needs & objectives
- Systematic study & not based on intuitions

Does organizational behavior (OB) require a *systematic study* ?

Many people think OB is just common sense.
Some would add OB is just intuition.

Organizational Behavior

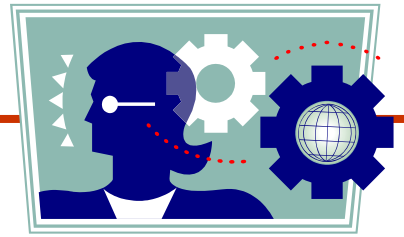
Does organizational behavior (OB) require a *systematic study?*

The answer is YES!!!

Replacing Intuition with Systematic Study

Intuition

A feeling not necessarily supported by research.



Systematic study

Looking at relationships, attempting to attribute causes and effects, and drawing conclusions based on scientific evidence.

Provides a means to predict behaviors.

Replacing Intuition with Systematic Study

Preconceived Notions ≠ **The Facts**

Goals of Organizational Behavior

- *Explain, predict, and control* human behavior
- To increase employee effectiveness and organizational effectiveness

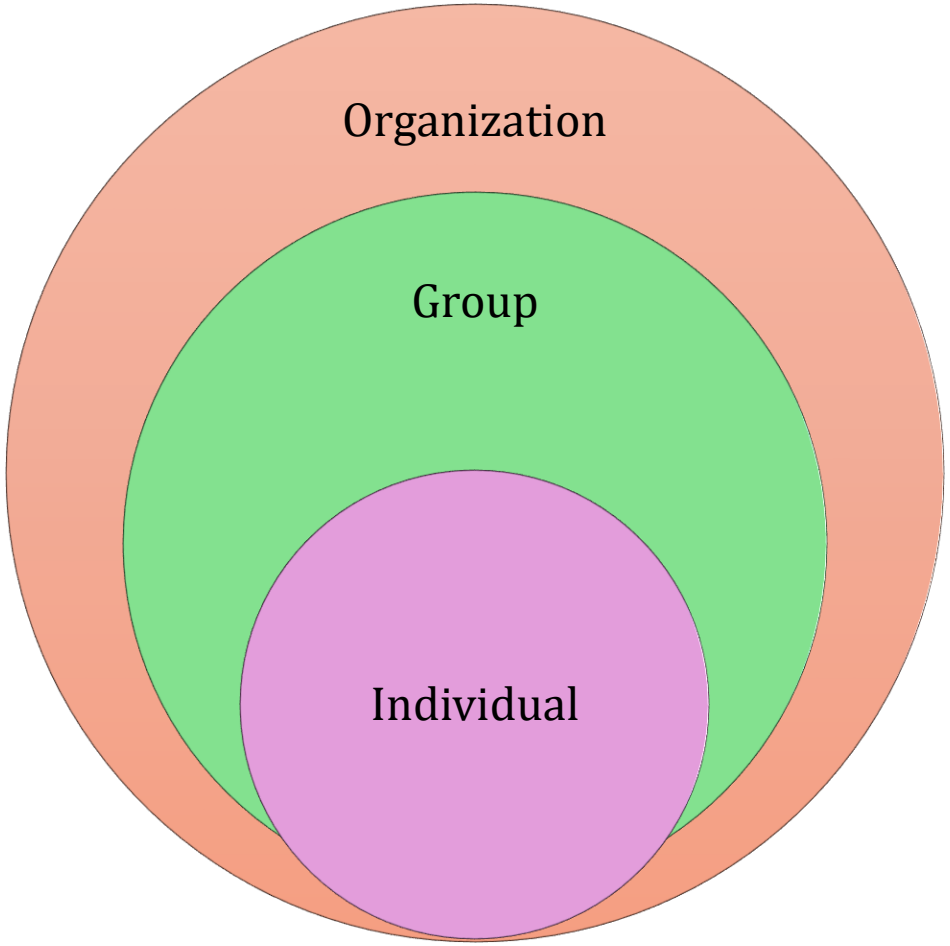


Goals of Organizational Behavior

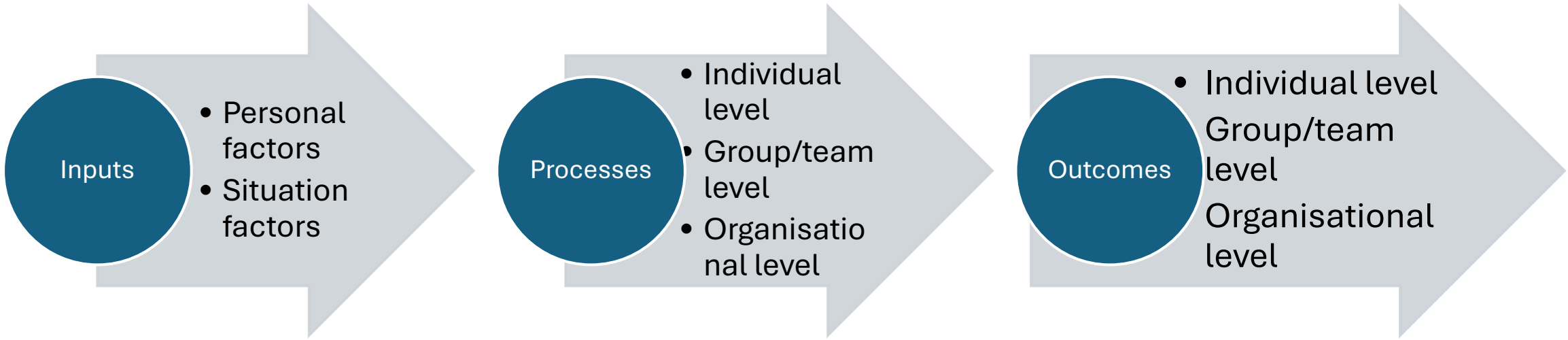
1. **Understanding of self & others**
2. **Motivation**
3. **Effective communication**
4. **Effective organizational climate**
5. **Good HR relation**

Scope/ Levels of OB

- Individuals
- Groups
- The organisation itself



Organizing Framework for Understanding and Applying OB



Behavioural Problems of Employees in Organisations

- BMS– Organisational Behaviour
- Understanding employee behaviour, causes and managerial responses

Definition: Employee Behavioural Problems

- Employee behavioural problems: Recurring or significant patterns of employee behaviour that negatively affect individual performance, relationships, team functioning, or organisational effectiveness.

- OB perspective: Organisational Behaviour examines the causes, consequences and management of such behaviour at the individual, group and organisational levels.

- Important distinction: A behavioural problem is the observable behaviour; the underlying cause may involve personality, perception, attitude, motivation, emotions, leadership, group dynamics, organisational culture or structure.

- Managerial principle: Diagnose the behaviour and its causes before deciding on corrective action.

Learning Objectives

- Identify common behavioural problems in organisations
- Distinguish individual, group and organisational behavioural problems
- Connect behavioural problems with core OB concepts
- Diagnose behaviour rather than simply label employees
- Suggest appropriate managerial interventions

What Is an Employee Behavioural Problem?

- A pattern of employee behaviour that negatively affects individual, team or organisational effectiveness
- The same behaviour may have different underlying causes
- OB focuses on understanding why behaviour occurs and how it can be managed
- Managerial diagnosis should consider both employee and organisational factors

Individual-Level Behavioural Problems

- Low motivation and low work effort
- Negative attitudes and cynicism
- Absenteeism and lateness
- Poor adaptability to change
- Lack of initiative
- Emotional outbursts or poor emotional regulation
- Low job involvement or commitment
- Definition: Behavioural difficulties primarily expressed by an individual employee that can reduce personal effectiveness or work adjustment.

Group-Level Behavioural Problems

- Interpersonal conflict
- Poor teamwork and cooperation
- Workplace incivility
- Gossip and rumours
- Knowledge hoarding
- Group conformity and reluctance to disagree
- Blame shifting among team members
- Definition: Behavioural difficulties arising in interactions among employees that affect relationships, cooperation or team performance.

Organisation-Level Behavioural Problems

- Resistance to organisational change
- Office politics and favouritism
- Employee silence
- Unethical behaviour
- Counterproductive work behaviour
- High employee turnover
- Weak organisational citizenship
- Definition: Behavioural patterns shaped by or affecting the wider organisational system, culture, structure or practices.

Behavioural Problem → OB Concept

- Low motivation → Motivation theories, rewards, goals
- Conflict → Personality, communication, group dynamics
- Resistance to change → Perception, attitudes, change management
- Incivility → Emotions, attitudes, social interaction
- Employee silence → Power, leadership, culture, psychological safety
- Office politics → Power, influence and organisational politics

20 Common Behavioural Problems

- 1. Absenteeism 2. Turnover 3. Low motivation 4. Poor performance
- 5. Resistance to change 6. Conflict 7. Incivility 8. Poor teamwork
- 9. Negative attitude 10. Employee silence 11. Office politics
- 12. Counterproductive behaviour 13. Unethical behaviour 14. Poor communication
- 15. Emotional outbursts 16. Bullying 17. Lack of initiative
- 18. Blame shifting 19. Knowledge hoarding 20. Gossip and rumours

Is the Employee Really 'Lazy'?

- A highly experienced employee has become less productive.
- He frequently arrives late and avoids team meetings.
- He refuses to use a new digital system.
- He complains about management and has stopped helping colleagues.
- The manager concludes: 'He has become lazy.'
- Question: What alternative explanations should an OB manager investigate?

Diagnosing the Case Through OB

- Personality: Has the employee always behaved this way?
- Perception: How does the employee perceive the change?
- Attitude: Has job satisfaction or trust declined?
- Motivation: Are rewards and goals still meaningful?
- Emotions: Is frustration affecting behaviour?
- Group: Has the employee's relationship with colleagues changed?
- Leadership: How is the manager interacting with the employee?
- Culture: Does the organisation support learning and change?

A Managerial Diagnosis Framework

- STEP 1 – OBSERVE: What exactly is the behaviour?
- STEP 2 – IDENTIFY: Is it individual, group or organisational?
- STEP 3 – DIAGNOSE: What factors may be causing it?
- STEP 4 – INTERVENE: What can the manager realistically change?
- STEP 5 – FOLLOW UP: Has the behaviour improved?

Possible Causes of Behavioural Problems

- Individual: Personality, ability, perception, emotions, attitudes
- Job: Workload, role ambiguity, lack of autonomy, poor job design
- Leadership: Poor communication, unfair treatment, lack of support
- Group: Conflict, norms, exclusion, lack of trust
- Organisation: Culture, structure, rewards, policies and politics
- External: Family, economic or environmental pressures

Managerial Responses

- Clarify expectations and roles
- Provide feedback and coaching
- Review workload and job design
- Improve communication and participation
- Strengthen recognition and reward systems
- Address conflict early
- Create safe channels for employee voice
- Build a respectful and ethical organisational culture

Classroom Activity: Behaviour Detective

- Form small groups
- Give each group one behavioural problem
- Identify: What is the behaviour?
- Identify: What could be causing it?
- Apply at least three OB concepts
- Recommend two managerial interventions
- Present your diagnosis in 3 minutes

Discussion Questions

- Is employee behaviour mainly caused by personality or the work environment?
- Can a good employee develop problematic behaviour because of poor management?
- When should a manager treat behaviour as a performance issue?
- How can organisational culture reinforce undesirable behaviour?
- Why is labelling an employee 'lazy' often an inadequate diagnosis?

Key Takeaway

- Do not ask only: 'What is wrong with the employee?'
- Ask: 'What is producing this behaviour?'
- Effective OB diagnosis considers:
- Individual + Job + Group + Leadership + Culture + Organisational System
- Behavioural management begins with diagnosis, not blame.

Reflection

- Think of one behavioural problem you have observed HERE.
- What was the visible behaviour?
- What might have been the underlying cause?
- Which OB concept best explains it?
- What would you do differently as a manager?

Individuals

- Are a central feature of OB
- Are a necessary part of any behavioural set
- Bring to the organisation their personality, skills and attributes, values, needs and expectations
- Can create conflict if their needs and the demands of the organisation are incompatible

Groups

- Can have a major influence on behaviour and performance of individual members
- Have their own structures and functions, role relationships and influences and pressure

An understanding of group structure and behaviour complements a knowledge of individual behaviour

The organisation

- Individuals & groups interact within the structure of the formal organisation
- Organisational structure is created by management to:

  - establish a relationship between individuals & groups

  - provide order and systems to direct efforts of the organisation into goal seeking activities

Looking at the Big Picture

- The number one reason for failure among executives of Fortune 500 companies is poor interpersonal skills. In short, they don't have a command of the needed people skills and, as a result, they come across as not really caring about their people.

Organizations and OB

What is changing that requires a more systematic study?

- Organizations are changing
- Diversity
- Global competition
- Technology's influence on behavior
- Society – social changes

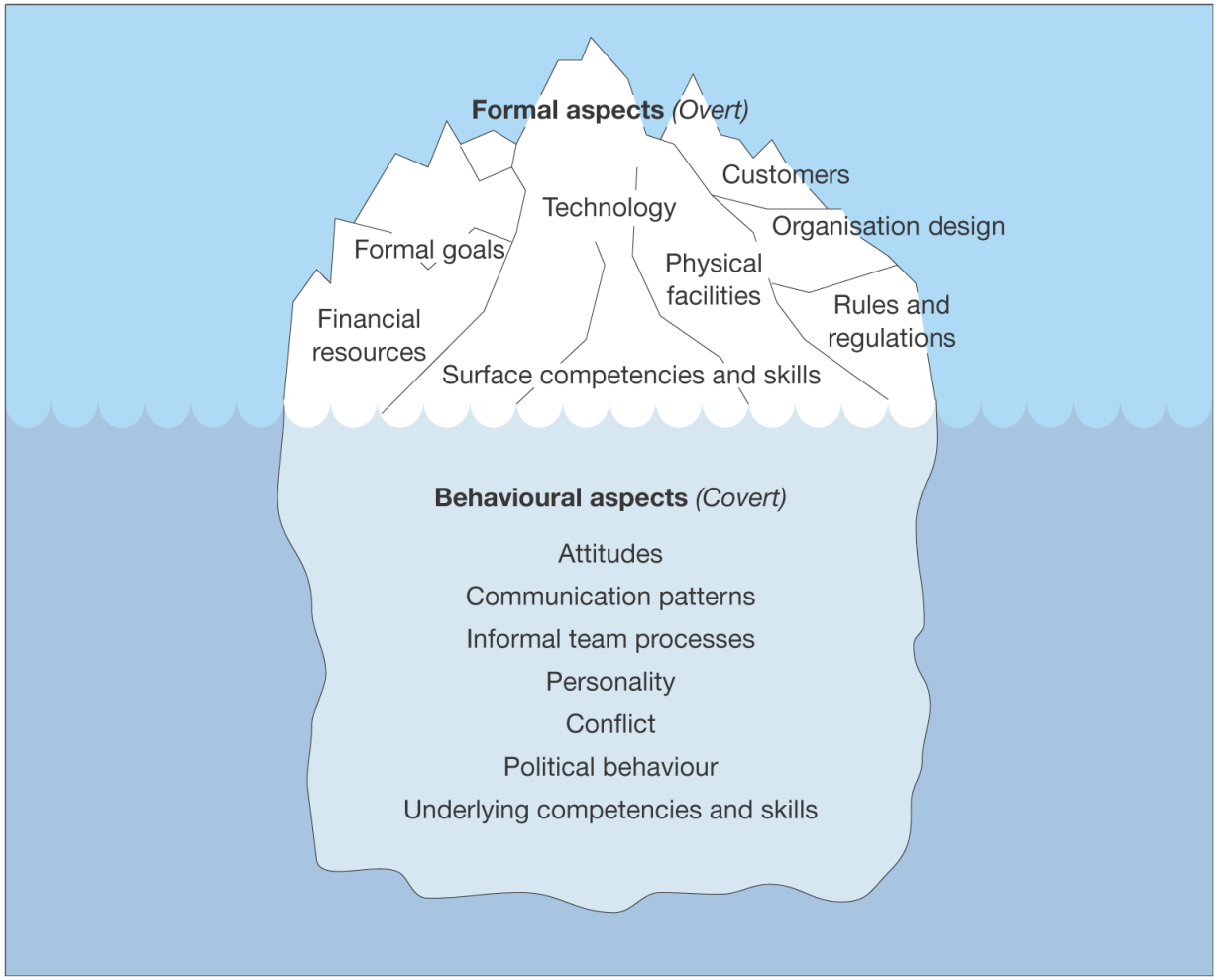
The organisational iceberg

One way to recognise why people behave as they do at work is to view an organisation as an iceberg

What sinks a ship isn't always what sailors can see, but what they can't see

Hellriegal, Slocum, & Woodman

The organisational iceberg



Source: Don Hellriegel, John W. Slocum, Jr and Richard W. Woodman, *Organizational Behavior,* Eighth edition, South-Western Publishing © (1998), p.6. Reprinted with the permission of South-Western, a division of Thomson Learning: www.thomsonrights.com. Fax 800 730 2215.

Contributing Disciplines to the OB Field

Psychology

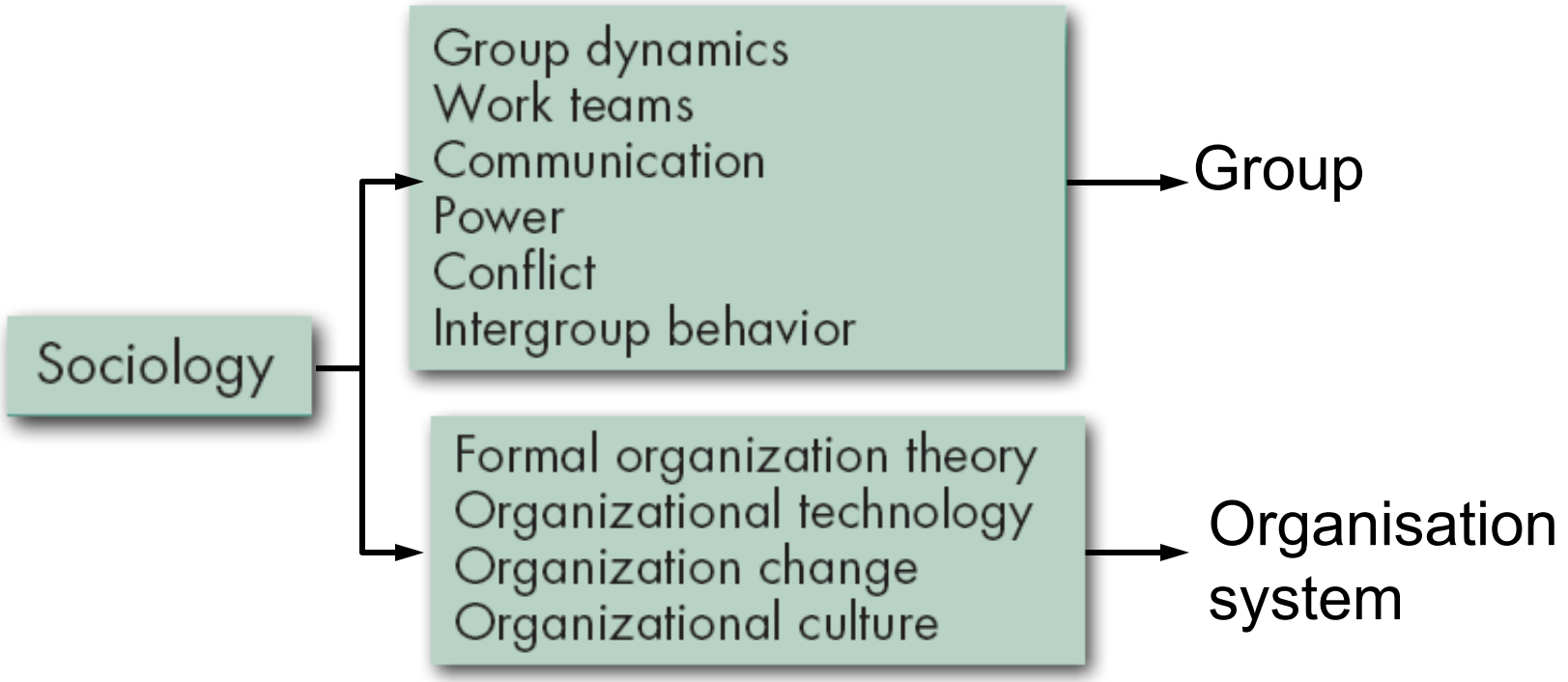
The science that seeks to measure, explain, and sometimes change the behavior of humans and other animals.



Contributing Disciplines to the OB Field (cont'd)

Sociology

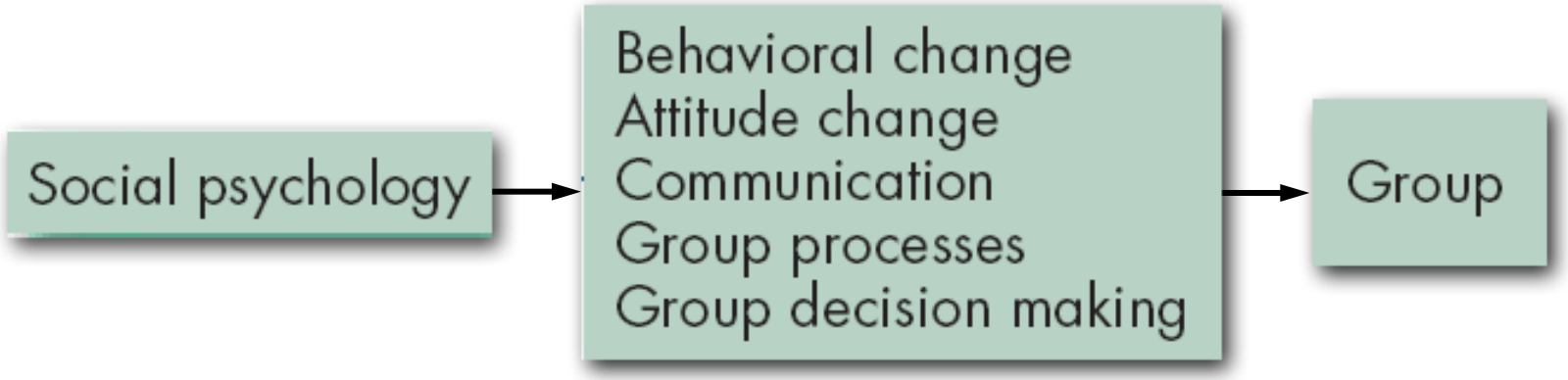
The study of people in relation to their fellow human beings.



Contributing Disciplines to the OB Field (cont'd)

Social Psychology

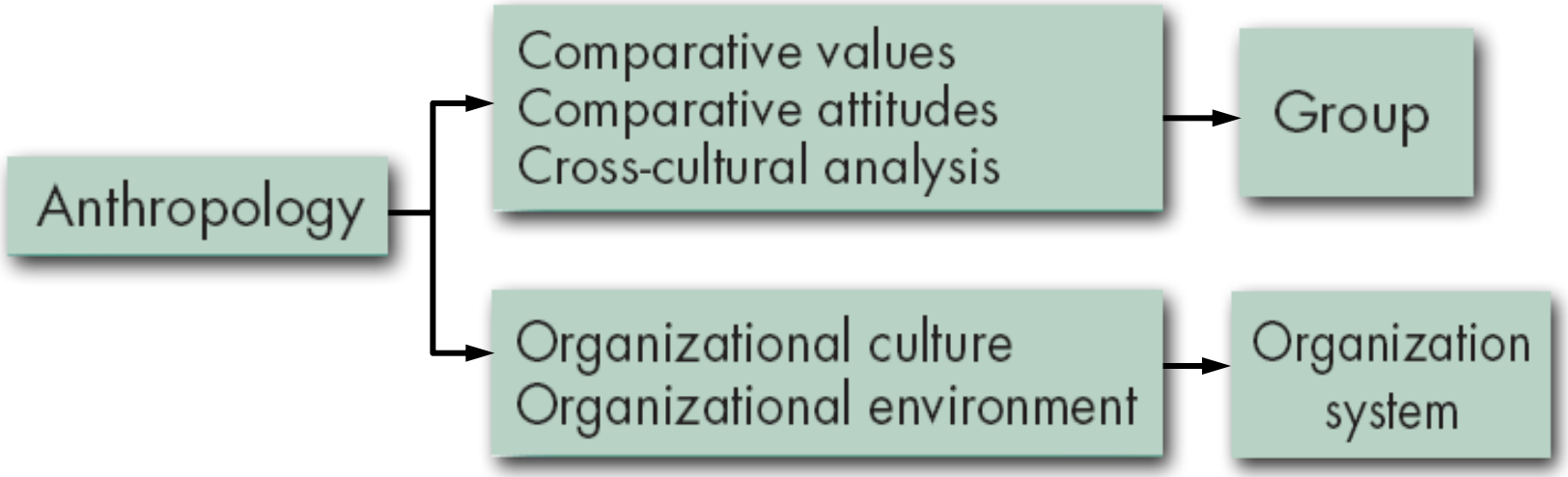
An area within psychology that blends concepts from psychology and sociology and that focuses on the influence of people on one another.



Contributing Disciplines to the OB Field (cont'd)

Anthropology

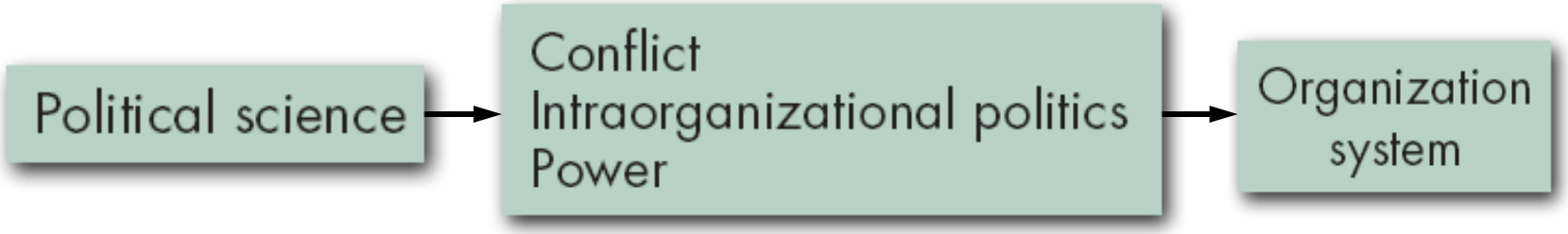
The study of societies to learn about human beings and their activities.



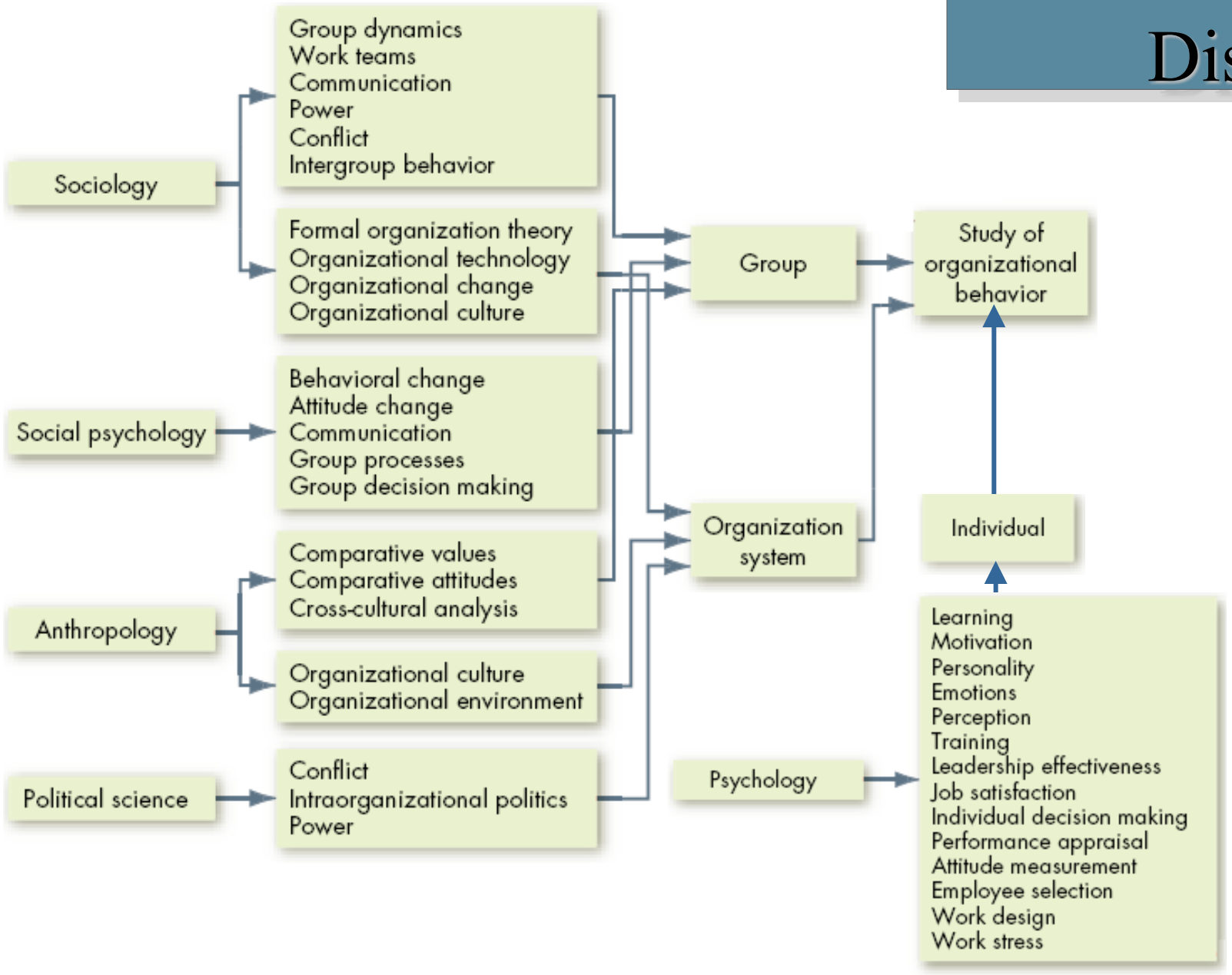
Contributing Disciplines to the OB Field (cont'd)

Political Science

The study of the behavior of individuals and groups within a political environment.



Toward an OB Discipline



Challenges and Opportunities for OB

- **Responding to Globalization**
  - Increased foreign assignments
  - Working with people from different cultures
  - Overseeing movement of jobs to countries with low-cost labor
- **Managing Workforce Diversity**
  - Embracing diversity
  - Changing demographics
  - Implications for managers
    - Recognizing and responding to differences

Challenges and Opportunity for OB (cont'd)

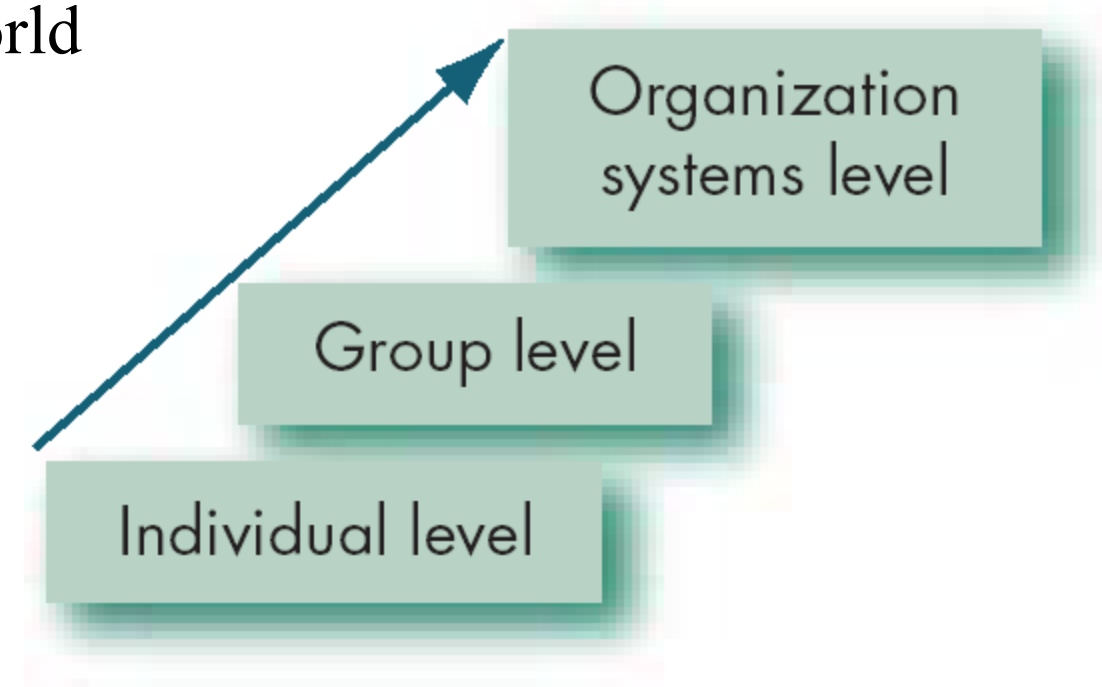
- Improving People Skills
- Empowering People
- Stimulating Innovation and Change
- Coping with "Temporariness"
- Working in Networked Organizations
- Helping Employees Balance Work/Life Conflicts
- Improving Ethical Behavior



Basic OB Model, Stage I

Model

An abstraction of reality.
A simplified representation of some real-world phenomenon.



What Is OB?

Organizational behavior is an academic discipline focused on understanding and managing people at work.

OB overcomes the pitfalls of common sense by:

- Relying on a systematic, science-based approach.

A CONTINGENCY PERSPECTIVE

- ✓ No one best way to manage people, teams, or organizations.
- ✓ The best or most effective course of action instead depends on the situation.

OB draws on anthropology, economics, ethics, management, political science, psychology, sociology, statistics, and vocational counseling — people skills matter as much as technical skills.

The Three Levels in OB

In OB, we are concerned with three levels at work.

1

Individual

The single employee — attitudes, personality, and performance.

2

Group / Team

How people collaborate, communicate, and coordinate work.

3

Organization

Structure, culture, and systems across the whole enterprise.

Soft Skills Employers Value Most

Soft skills relate to human interactions — interpersonal skills and personal attributes — and are among the most valued skills by employers.

Interpersonal Skills

- Active listening.
- Positive attitudes.
- Effective communication.

Personal Attributes

- Attitude.
- Personality.
- Teamwork.
- Leadership.

What Gets You Hired vs. What Gets You Promoted

Promotion Criteria

What determines which employee is promoted?

— Ability to manage people.

— Strong team skills.

— Ability to build and manage relationships.

Hiring Criteria

What determines which applicant is hired?

— Technical skills.

— Nuts and bolts of doing a job.

— Ability to get the job done.

— Based on job- or function-specific knowledge.

KNOWLEDGE CHECK

The contingency ap

A. Relying on one best way to manage situations.

B. Using OB concepts and tools as situationally appropriate.

C. Using a pragmatic approach.

D. Not relying on simple common sense.

E. Being systematic and scientific.

Answer: A. *The contingency approach to OB is based upon all these items except relying on one best way.*

The Importance of Ethics

1. Employees are confronted with ethical challenges throughout their careers.
2. Unethical behavior can damage relationships, making it difficult to conduct business.
3. Unethical behavior reduces cooperation, loyalty, and performance.
4. The legal system cannot always be relied upon to assure work conduct that is ethical.

Ethical Dilemmas... No Perfect Solution

Ethical dilemmas are situations with two choices, neither of which resolves the situation in an ethically acceptable way — no clear ethical resolution arises.

Not always a pure choice between right and wrong.

Places people in an uncomfortable position.

Causes of Unethical Behavior

Table 1.2

CAUSE	DESCRIPTION	EXAMPLE	REMEDY
Ill-Conceived Goals	We set goals and incentives to promote a desired behavior, but they encourage a negative one.	The pressure to maximize billable hours in accounting, consulting, and law firms leads to unconscious padding.	Brainstorm unintended consequences when devising goals and incentives. Consider alternative goals that may be more important to reward.
Motivated Blindness	We overlook the unethical behavior of another when it's in our interest to remain ignorant.	Baseball officials failed to notice they'd created conditions that encouraged steroid use.	Root out conflicts of interest. Simply being aware of them doesn't necessarily reduce their negative effect on decision making.
Indirect Blindness	We hold others less accountable for unethical behavior when it's carried out through third parties.	A drug company deflects attention from a price increase by selling rights to another company, which imposes the increase.	When outsourcing work, ask whether the assignment might invite unethical behavior, and take ownership of the implications.
The Slippery Slope	We are less able to see others' unethical behavior when it develops gradually.	Auditors may accept a client firm's questionable statements if infractions have accrued over time.	Be alert for even trivial ethical infractions and address them immediately. Investigate whether behavior has changed.
Overvaluing Outcomes	We give a pass to unethical behavior if the outcome is good.	A researcher whose fraudulent trial saves lives is seen as more ethical than one whose fraudulent trial leads to deaths.	Examine both "good" and "bad" decisions for their ethical implications. Reward solid processes, not just good outcomes.

Dealing with Unethical Behavior — What You Can Do

1. It's business, treat it that way.
2. Accept that confronting ethical concerns is part of your job.
3. Challenge the rationale.
4. Use your lack of seniority or status as an asset.
5. Consider and explain long-term consequences.
6. Focus on solutions — not just complaints.

KNOWLEDGE CHECK

Which of the followi

A. Ethical dilemmas occur when neither of two choices ethically resolves a situation.

B. Most people working in organizations are good people with good intentions.

C. If something is unethical, it is also illegal.

D. Our conduct is shaped by our environment.

E. Reward systems can cause unethical behavior.

Answer: C. *It is often the case that unethical situations are legal in nature.*

Closing the Gap: A Three-Step Approach

Problems frequently arise and may be viewed as a gap between an actual and desired outcome.

1

Define the Problem

Define the desired outcome — the difference between what you want and what you have.

→

2

Identify OB Concepts

Use OB concepts and theories to identify potential causes. Ask "why" repeatedly to trace root causes.

→

3

Recommend & Act

Make recommendations — and, if appropriate, take action — that address the causes you identified.

KNOWLEDGE CHECK

Which one of these

A. Managers usually do not spend enough time on defining the problem.

B. It is advisable to skip this step and proceed to making recommendations.

C. After defining the problem, OB concepts or theories can be used to solve it.

D. People often make assumptions.

E. Once problems are defined, OB knowledge can produce better performance.

Answer: B. *Solutions can't be generated until the problem has been defined and understood.*

Structure and Rigor: The Person–Situation Distinction

Person Factors

Characteristics that give individuals their unique identities.

Situation Factors

Elements outside us that influence what we do, the way we do it, and the ultimate results of our actions.

Individual behavior often results from the interaction of these interdependent factors — we need to understand the interplay among both to be effective.

Which of the followi

A. Person factors.

B. Interdependence of person factors and environmental characteristics.

C. Environmental characteristics.

D. Interdependence of person factors and changes at a group or team level.

E. Independence of person factors and environmental characteristics.

Answer: B. *The interactional perspective states that behavior is a function of interdependent person and environmental factors.*

The Organizing Framework for Understanding and Applying OB

Figure 1.3



Using the Framework to Select a Solution

Selection Criteria

Effects on profits, impact on others, reputation, organizational values, ethical implications.

Consequences

Trade-offs between who wins and loses, ideal vs. practical, perfection vs. excellence, superior vs. satisfactory.

Choice Process

May be an individual, team, or third-party decision — the decision-making method must be determined.

Necessary Resources

Consider which people will be key sources of support for — or resistance to — the ultimate selection.

\

The Organizing Fra

A. A systems approach.

B. Using person and environmental factors as inputs.

C. Processes including individual, group/team, and organizational level.

D. Outcomes organized into individual, group/team, and organizational level.

E. All of these are correct.

Answer: E. *All the statements describe the organizing framework.*

ORGANISATIONAL BEHAVIOUR

Understanding individual value priorities and national cultural dimensions

A practical MBA guide to values, culture, and managerial behaviour

- focuses on human value priorities
- focuses on patterns of national culture
- organisational behaviour, leadership, HRM, international management

LEARNING OBJECTIVES

After Reading This Chapter, You Should Be Able To:

- **2.1** Describe the role values play in influencing your behavior.
- **2.2** Explain how personal attitudes affect workplace behavior and work-related outcomes.
- **2.3** Discuss the importance of four key workplace attitudes.
- **2.4** Discuss the five causes of job satisfaction.
- **2.5** Describe work-related outcomes associated with job satisfaction.
- **2.6** Describe the implications of chapter content for you and managers.

Your Personal Values Are…

> *Abstract ideals that guide our thinking and behavior across all situations.*

- Values stem from our parents' values, our experiences in childhood and throughout life, and our religious or spiritual beliefs.
- Values are relatively stable and can influence behavior outside our awareness.
- Understanding values can help you self-manage and be more effective at influencing others' attitudes and behaviors.

INTRODUCTION

Why Study Values and Culture?

Values define what matters

Values influence what people consider desirable, important, right, or appropriate.

Culture shapes expectations

Culture shapes shared expectations about authority, relationships, risk, time, and achievement.

Managers face these differences daily

Managers encounter value and cultural differences in recruitment, motivation, teamwork, leadership, and negotiation.

Complementary, not interchangeable

The frameworks are complementary — not interchangeable.

VALUES

- **Basic conviction that a specific mode of conduct or end state of existence is personally or socially preferable to an opposite or converse mode of conduct or end state of existence.**
- Stable, evaluative beliefs that guide our preferences
- Define right or wrong, good or bad
- Value system -- hierarchy of values



TYPES OF VALUES – ROKEACH VALUE SURVEY



terminal values

Desirable end-states of existence; the goals that a person would like to achieve during his or her lifetime.



instrumental values

Preferable modes of behavior or means of achieving one's terminal values.

TERMINAL VALUES

- True Friendship
- Mature Love
- Self-Respect
- Happiness
- Inner Harmony
- Equality
- Freedom
- Pleasure
- Social Recognition
- Wisdom
- Salvation
- Family Security
- National Security
- A Sense of Accomplishment
- A World of Beauty
- A World at Peace
- A Comfortable Life
- An Exciting Life

INSTRUMENTAL VALUES

- Cheerfulness
- Ambition
- Love
- Cleanliness
- Self-Control
- Capability
- Courage
- Politeness
- Honesty
- Imagination
- Independence
- Intellect
- Broad-Mindedness
- Logic
- Obedience
- Helpfulness
- Responsibility
- Forgiveness

Rokeach, M. (1973). The Nature of Human Values. New York: The Free Press.
Rokeach, M. (1968). Beliefs, attitudes, and values: A theory of organization and change. San Francisco: Jossey-Bass.
Johnston, Charles S. (1995). The Rokeach Value Survey: Underlying structure and multidimensional scaling. Journal of Psychology, 129(5), 583-597.

FRAMEWORK ONE

Schwartz Value Theory

- Developed by Shalom H. Schwartz to explain universal human values and their motivational goals.
- Values are organised in a circular structure based on compatibility and conflict among motivations.
- The theory is commonly presented as 10 basic value types grouped into broader motivational interests.
- Applications include employee attitudes, leadership, consumer behaviour, ethics, and cross-cultural research.

SH

Shalom H. Schwartz

Social Psychologist

Core Idea

Values act as guiding principles in life, organised by the motivational goals they express — some compatible, some in conflict.

10 Basic value types

FRAMEWORK ONE

Schwartz's 10 Basic Human Values

- Stimulation
- Power
- Achievement
- Hedonism
- Self Direction

- Benevolence
- Tradition
- Conformity
- Universalism
- Security

FRAMEWORK ONE

Schwartz's Value Continuum

Openness to Change ↔ Conservation

Independence and novelty versus stability and continuity.

Self-Enhancement ↔ Self-Transcendence

Personal success/status versus concern for others and collective welfare.

Adjacent values tend to be more compatible; values on opposing sides can create motivational tension.

Ex

Example

A manager high in Achievement may pursue ambitious targets, while a manager high in Benevolence may place stronger emphasis on employee welfare.

FRAMEWORK ONE

Schwartz's 10 Basic Human Values

Openness to Change & Self-Enhancement

- **Self-Direction** — independent thought and action
- **Stimulation** — novelty, excitement and challenge
- **Hedonism** — pleasure and gratification
- **Achievement** — personal success and competence
- **Power** — status, prestige and control over resources

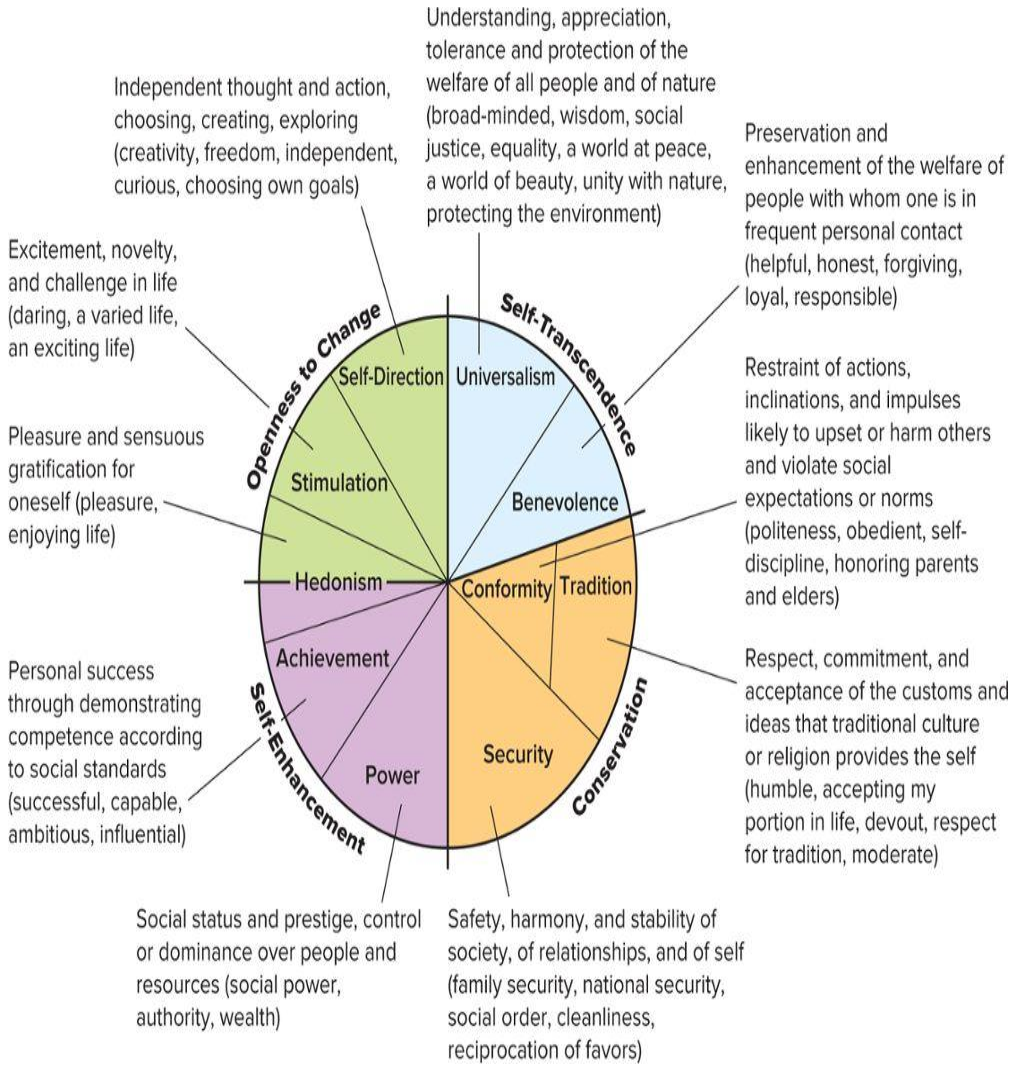
Conservation & Self-Transcendence

- **Security** — safety, stability and harmony
- **Conformity** — restraint of socially disruptive behaviour
- **Tradition** — respect for customs and cultural practices
- **Benevolence** — concern for close others
- **Universalism** — concern for people, nature and broader welfare

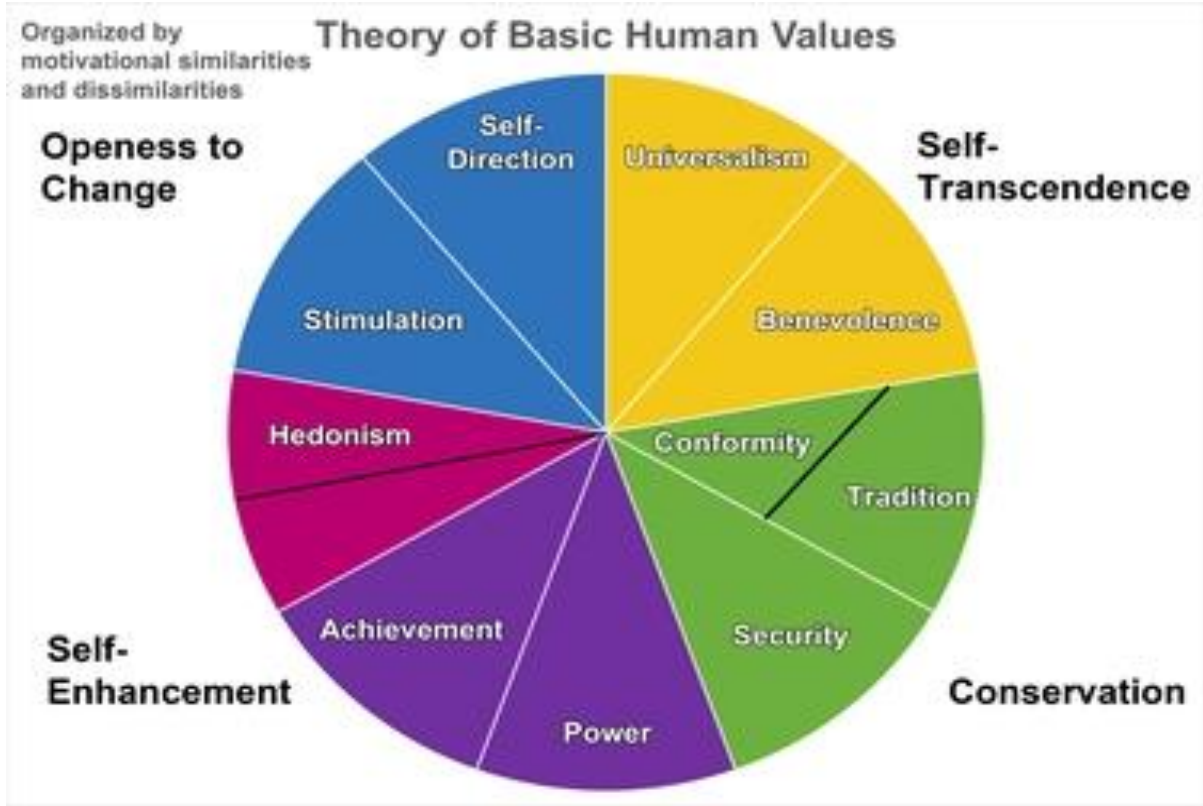
VALUES · FIGURE 2.2

Schwartz's Value Theory

- Values are motivational and represent broad goals over time.
- Bipolar values are incongruent while adjacent values are complementary.



Source: S.H. Schwartz, "An Overview of the Schwartz Theory of Basic Values," Online Readings in Psychology and Culture 2(1), December 1, 2012, http://dx.doi.org/10.9707/2307-0919.116.


Organized by motivational similarities and dissimilarities
Theory of Basic Human Values
Openess to Change
Self-Transcendence
Self-Enhancement
Conservation
Self-Direction
Universalism
Stimulation
Benevolence
Hedonism
Conformity
Tradition
Achievement
Security
Power

Implications of Schwartz's Value Theory

Personal Application

- Employees will derive more meaning from work by pursuing goals that are consistent with their values.

Workplace Application

- Managers can better manage employees when they understand employees' values and motivation.
- Pursuit of incongruent goals may lead to conflicting employee actions and behaviors.

What Do We Know About Values?

> *Attracting employees whose personal values align with those of the organization yields many benefits.*

- Lower employee turnover.
- Higher employee retention.
- Higher employee engagement.
- Increased customer satisfaction.
- A person's values are stable over time, but personal values vary across generations and cultures.

FRAMEWORK TWO

Hofstede's Cultural Dimensions

- Geert Hofstede's framework explains differences in national-level cultural patterns.
- It is widely used as a starting point for understanding cross-national management.
- The commonly taught model contains six dimensions.
- Scores describe tendencies at the country level; they should not be treated as descriptions of every individual.

GH

Geert Hofstede
Social Psychologist

Core Idea

National cultures differ systematically along measurable dimensions that shape institutions, management, and behaviour.

6 Cultural dimensions

FRAMEWORK TWO

Hofstede's Six Dimensions

Dimensions 1 – 3

1. **Power Distance**
   Acceptance of unequal distribution of power

2. **Individualism vs Collectivism**
   Emphasis on individual autonomy versus group ties

3. **Uncertainty Avoidance**
   Preference for predictability, rules, and structure

Dimensions 4 – 6

4. **Masculinity vs Femininity**
   Competition, achievement and assertiveness versus cooperation and quality of life

5. **Long-Term Orientation**
   Pragmatic, future-oriented persistence versus short-term normative orientation

6. **Indulgence vs Restraint**
   Relatively free gratification of desires versus stronger social regulation

COMPARISON

Schwartz vs Hofstede: Key Differences

SCHWARTZ

- Primary focus: human values and motivational priorities
- Can be examined at individual and cultural levels
- Explains what people value and the motivational goals behind behaviour
- Useful for individual differences and value congruence

HOFSTEDE

- Primary focus: national cultural patterns
- Country-level framework
- Explains broad cultural expectations and institutional patterns
- Useful for comparing management practices across countries

APPLICATION

Managerial Applications

L

Leadership

Adapt communication and participation expectations to cultural contexts.

M

Motivation

Recognise that employees may value achievement, security, autonomy, or social contribution differently.

H

HRM

Design recruitment, rewards, training, and appraisal systems with value and cultural differences in mind.

T

Teamwork

Anticipate differences in hierarchy, conflict, decision-making, and individual versus group orientation.

I

International Business

Use cultural frameworks as hypotheses to investigate — not stereotypes to label people.

CASE STUDY

Mini Case: Multicultural Project Team

THE SITUATION

A multinational project team misses deadlines because members disagree about decision speed, hierarchy, and risk-taking. One group expects the project leader to make the final decision; another expects participative discussion. Some members prefer detailed rules before acting, while others are comfortable experimenting.

S Schwartz's role

Helps the manager examine underlying individual value priorities.

H Hofstede's role

Helps frame possible national-cultural patterns behind the disagreement.

MANAGERIAL RESPONSE

Clarify decision rights, establish escalation rules, agree on risk thresholds, and create space for different working preferences.

Singapore – Analysis based on Hofstede's six dimensions

- **1. Power Distance (High vs. Low)**

Singapore: Low Power Distance

- Singapore exhibits a relatively low power distance. This means that there is a preference for equality between leaders and subordinates.

- **2. Individualism vs. Collectivism**

Singapore: Collectivist

- Singapore leans more towards collectivism. So, they emphasize the needs of the community over the individual. So, they put more emphasis on social harmony and family, which is a significant cultural trait among Singaporeans.

3. Masculinity vs. Femininity

Singapore: Masculine

- Singapore tends to be more masculine in its values. They always focus more on achievements and success. The culture highly values competition and performance, which is reflected in the nation's drive for economic growth.

- **4. Uncertainty Avoidance (High vs. Low)**

Singapore: Low Uncertainty Avoidance

- Singapore has a relatively low uncertainty avoidance. This means that people are more comfortable with risk-taking. This can be seen as an entrepreneurial economy, where new ideas and business ventures are frequently embraced.

- **5. Long-Term vs. Short-Term Orientation**

Singapore: Long-Term Orientation

- Singapore strongly values long-term planning. This is evident from their focus on :
- Sustainability
- Long-term economic growth
- Strategic national development

- **6. Indulgence vs. Restraint**
- **Singapore: Restraint**
- Singapore is more aligned with restraint. This means that there is a cultural tendency towards self-discipline. They prefer a more reserved attitude towards fulfilling desires.

GLOBE Framework of Culture and Values

Global Leadership and Organizational Behavior Effectiveness

nderstanding how societal culture shapes leadership and organizational behavi

What is the GLOBE Framework?

GLOBE = Global Leadership and Organizational Behavior Effectiveness.

A large-scale research program examining the relationship between culture, leadership and organizational practices.

It studied societies across multiple regions and countries to identify culturally endorsed leadership expectations.

The framework distinguishes between cultural practices (“As Is”) and cultural values (“Should Be”).

Core idea: effective leadership is partly culture-dependent.

Culture in GLOBE: Practices vs. Values

Cultural practices – how people believe things are currently done in their society or organization.

Cultural values – how people believe things should be done in an ideal society or organization.

Example: A society may currently show strong power distance, while people may still prefer a more egalitarian future.

This distinction helps managers understand both current behavior and desired change.

The 9 GLOBE Cultural Dimensions

1. Power Distance: Acceptance of unequal distribution of power.
2. Uncertainty Avoidance: Reliance on rules, procedures and social norms to reduce uncertainty.
3. Institutional Collectivism: Extent to which collective action and resource distribution are encouraged.
4. In-Group Collectivism: Pride, loyalty and cohesiveness within family or close groups.
5. Gender Egalitarianism: Degree to which gender role differences are minimized.

The 9 GLOBE Cultural Dimensions — Continued

6. Assertiveness: Degree to which people are assertive, confrontational and competitive.

7. Future Orientation: Extent to which people engage in planning, investing and delaying gratification.

8. Performance Orientation: Degree to which high performance, improvement and excellence are encouraged and rewarded.

9. Humane Orientation: Extent to which fairness, altruism, generosity and caring are encouraged and rewarded.

GLOBE Leadership Dimensions

GLOBE identified six broad culturally endorsed leadership dimensions.

Charismatic / Value-Based Leadership – vision, inspiration, integrity and performance orientation.

Team-Oriented Leadership – effective team building, collaboration and common purpose.

Participative Leadership – involving others in decision-making.

Humane-Oriented Leadership – compassionate, supportive and considerate behavior.

Autonomous Leadership – independent and individualistic leadership.

Self-Protective Leadership – status-conscious, procedural and security-oriented behavior.

Culture, Values and Leadership

Values influence what employees consider desirable, acceptable and legitimate.

Culture shapes expectations about authority, communication, teamwork, conflict and rewards.

Leadership effectiveness depends on the fit between leader behavior and followers' cultural expectations.

The same leadership behavior can be effective in one culture and less effective in another.

Managers working internationally need cultural intelligence—not stereotypes.

Example: Power Distance and Leadership

High power-distance context: employees may expect clear hierarchy, status differences and stronger direction from managers.

Lower power-distance context: employees may expect consultation, accessibility and relatively equal interaction.

Management implication: participation, feedback and delegation should be adapted to cultural expectations.

Important: GLOBE describes societal patterns; individuals within a culture can differ substantially.

Example: Collectivism and Teamwork

High in-group collectivism: loyalty to family or close groups may strongly influence workplace relationships.

Institutional collectivism emphasizes collective interests, organizational loyalty and shared outcomes.

Managers may need to balance individual recognition with team-based rewards.

Cross-cultural teams benefit from explicit norms about communication, decision rights and conflict.

Why GLOBE Matters in Organizational Behavior

Explains why employees from different societies may respond differently to the same management practice.

Helps managers design culturally appropriate leadership and HR practices.

Supports international staffing, global teamwork and cross-border collaboration.

Improves understanding of motivation, communication, decision-making and conflict.

Provides a structured alternative to vague assumptions about “national culture.”

GLOBE vs. Hofstede: A Quick Comparison

Hofstede: widely used cultural dimensions focused on national culture and work-related values.

GLOBE: links societal culture explicitly with leadership expectations and effectiveness.

GLOBE distinguishes cultural practices from cultural values.

GLOBE includes nine culture dimensions and six broad leadership dimensions.

Both frameworks are useful lenses—not labels for every individual employee.

Managerial Applications

Global leadership: adapt leadership style to culturally endorsed expectations.

HRM: tailor recruitment, appraisal, rewards and development practices to local contexts.

Teams: establish shared rules when members have different cultural assumptions.

Negotiation: anticipate differences in assertiveness, hierarchy and relationship orientation.

Change management: distinguish current cultural practices from desired values.

Ethics: avoid assuming that one cultural standard automatically fits every context.

Classroom Discussion

Scenario: An Indian manager leads a multicultural project team involving employees from India, Germany and the United States.

Question 1: Which GLOBE dimensions could create misunderstandings?

Question 2: How might power distance affect participation?

Question 3: How might collectivism affect teamwork and rewards?

Question 4: What leadership behaviors could create a culturally inclusive team?

Task: Identify 3 potential value conflicts and propose managerial responses.

Key Takeaways

GLOBE connects culture with leadership and organizational effectiveness.

Its nine cultural dimensions help explain differences in workplace expectations.

The practices-versus-values distinction is central to the framework.

Leadership effectiveness is influenced by cultural fit and culturally endorsed expectations.

Use GLOBE to understand differences—not to stereotype individuals.

Best practice: combine cultural knowledge with individual-level understanding.

CAUTION

Important Limitations

- National averages do not predict every individual's behaviour.
- Cultures are dynamic and internally diverse.
- Generational, organisational, professional, regional, and situational factors also matter.
- Avoid using cultural dimensions as stereotypes or as substitutes for direct communication.
- Use the frameworks to generate questions and improve cultural awareness.

Dominant Work Values differences in Today's Workforce

Cohort	Entered the Workforce	Approximate Current Age	Dominant Work Values
Boomers	1965-1985	50s to 70s	Success, achievement, ambition, dislike of authority; loyalty to career
Xers	1985-2000	Mid- 30s to 50s	Work-life balance, team-oriented, dislike of rules ;loyalty to relationship
Millennials	2000 to present	To mid 30s	Confident, financial success, self-reliant but team oriented; loyalty to both self and relationship

SUMMARY

Take-Ho

SCHWARTZ

Value priorities and motivational goals.

HOFSTEDE

Broad national cultural patterns.